

Money and banking — lesson 4

3.1.2 Central banks

中央銀行

Functions, financial stability and price stability



The front facade of the Bank of England building in London
Wikimedia Commons / Michael

Recall: banks and money

1 Define a commercial bank.

A bank that accepts deposits, lends money and provides payment services to customers.

2 Why does rapid inflation make money a poor store of value?

Rising prices reduce purchasing power, so the same amount of money buys fewer goods and services.

3 Define an overdraft.

An arrangement allowing spending beyond a current-account balance up to an agreed limit.

Write three short answers. Then check each against the model.

By the end, you can

1

Define a central bank and distinguish its role.

定义中央银行并区分其作用。

2

Explain the functions of a central bank.

解释中央银行的职能。

3

Analyse the importance of central banks.

分析中央银行的重要性。

Definition of a central bank

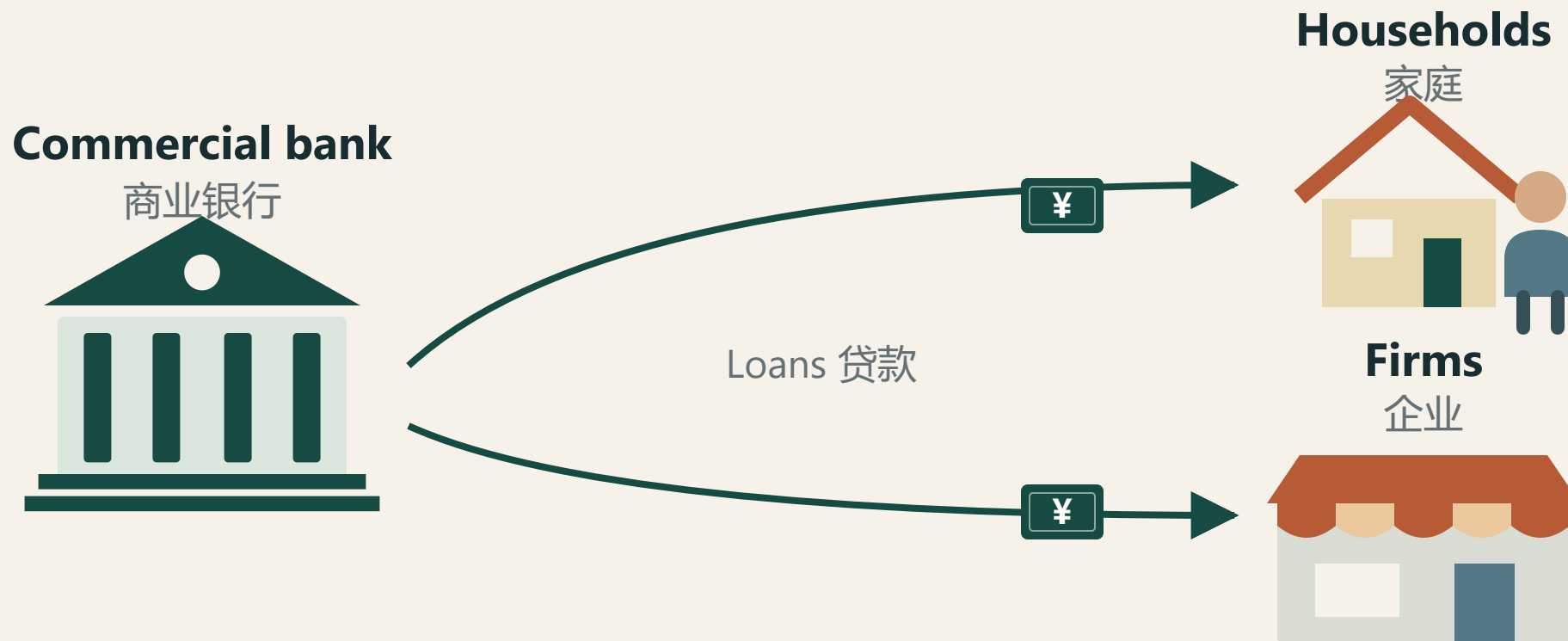
中央银行的定义

1 Definition of a
central bank

2 Functions of a
central bank

3 Past paper
practice

Commercial banks lend to households and firms.



A home for a household. Equipment for a firm.

Examples of central banks 中央银行实例



People's Bank of China
中国人民银行

Beijing · China



Bank of England
英格兰银行

London · United Kingdom



Federal Reserve
美国联邦储备系统

Board headquarters · Washington,
DC

Central bank

中央银行

DEFINITION

A central bank provides banking services to **government and commercial banks** and implements **monetary policy**.

中央银行为政府和商业银行提供银行服务，并实施货币政策。

monetary policy

货币政策

Policy using interest rates and money-supply measures to influence the economy.



People's Bank of China headquarters in Beijing

Wikimedia Commons

Central and commercial banks

中央银行与商业银行

FEATURE 比较项目	CENTRAL BANK	COMMERCIAL BANK
Main aim 主要目标	Usually price stability.	Profitability (profit maximisation).
Accounts 账户	Holds government accounts.	Holds accounts for households and firms.

Functions of a central bank

中央银行的职能

1 Definition of a central bank

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3 Past paper practice

1. Issue notes and coins

发行纸币与硬币



Illustration: authorised banknote production

Teaching illustration / OpenAI

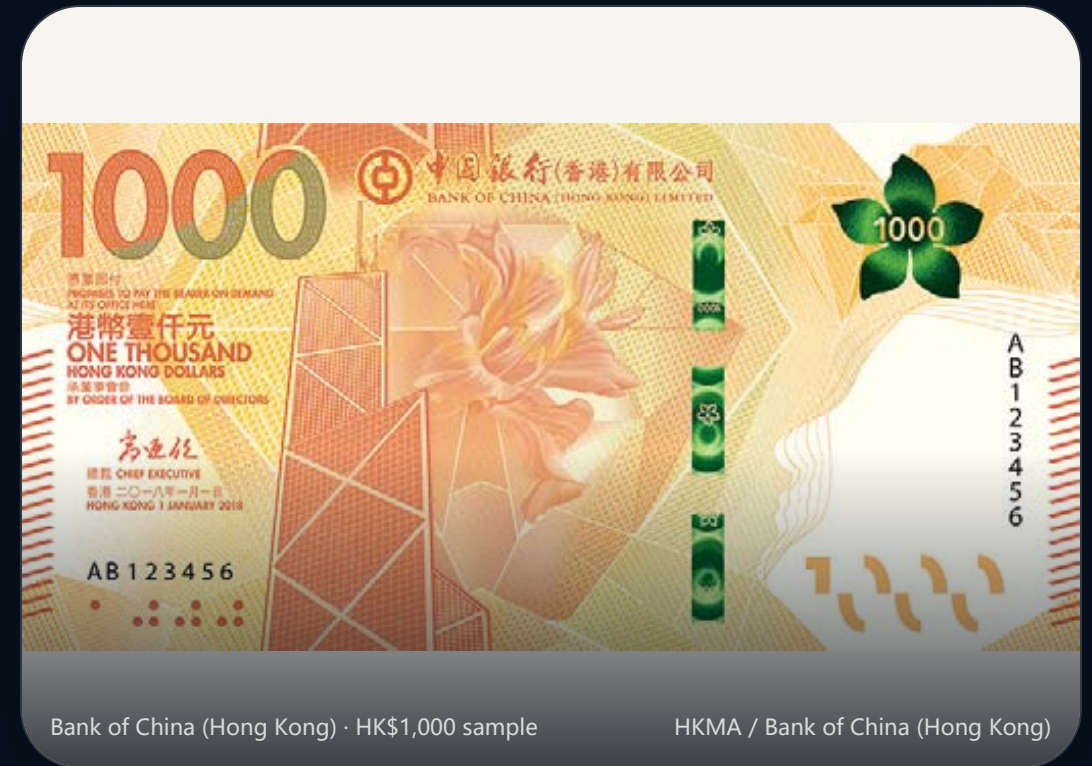
Often the only bank allowed to issue notes and coins.

通常是唯一获准发行纸币与硬币的银行。

Hong Kong banknote issuers

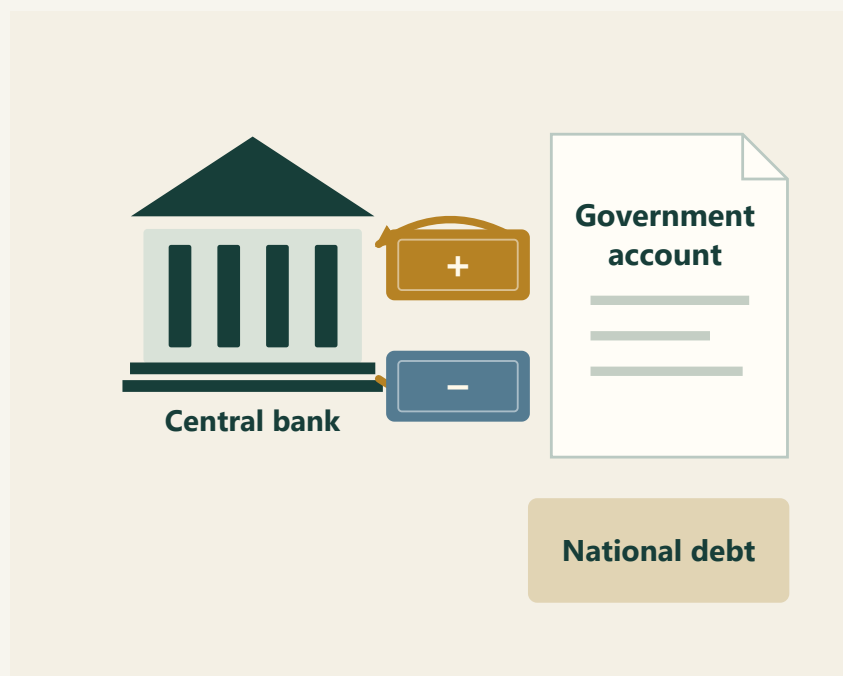
3 commercial banks

HSBC, Standard Chartered and Bank of China (Hong Kong) issue Hong Kong banknotes.



2. Act as banker to government

充当政府的银行



Receives payments to the government

接收政府款项

Makes payments on behalf of the government

代表政府付款

Manages the national debt

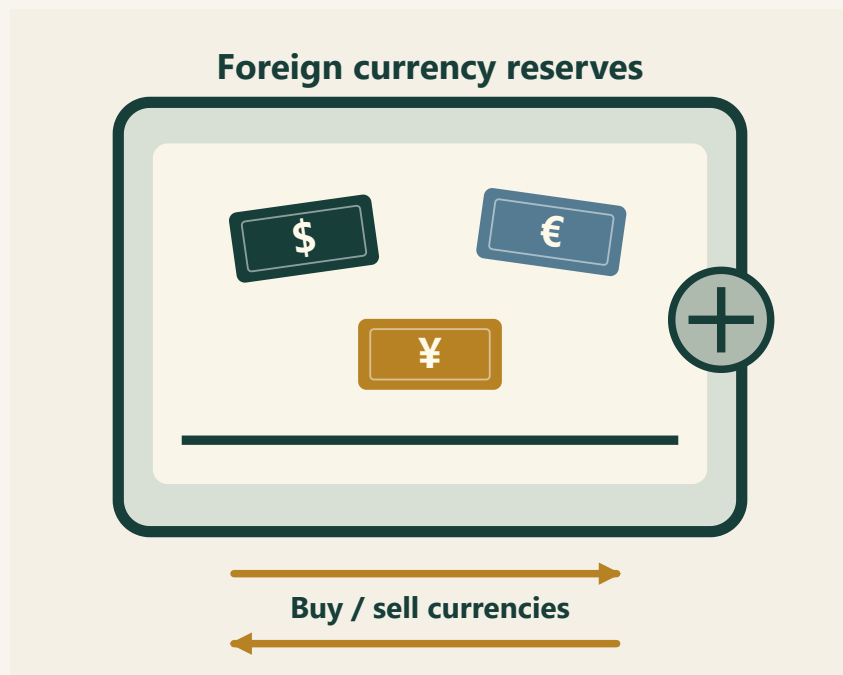
管理国债

Government banking

Oehler-Huang teaching illustration

3. Hold foreign currency reserves

持有外汇储备



Buys or sells foreign currency

买卖外币



Influences the exchange rate

影响汇率

Foreign currency reserves

Oehler-Huang teaching illustration

Banking operations: yes or no?

Decide yes or no. Give an economic reason. 判断并解释。

1 Bank of China (Hong Kong) issues banknotes. Is this enough to identify it as a central bank?

No

Issuing notes alone is insufficient. It is a commercial bank; its main aim is profitability.

2 A central bank pays teachers on the government's behalf. Has it decided how much to spend on education?

No

Making government payments is a banking service. It does not mean deciding the government's budget.

3 A central bank leaves interest rates unchanged but buys foreign currency. Can it still influence the exchange rate?

Yes

Buying or selling foreign currency can influence the exchange rate.

Your money is in the bank...

Savers



Emma

100k



Saver 2

100k



Saver 3



Saver 4

Commercial bank



¥1.1m in funds

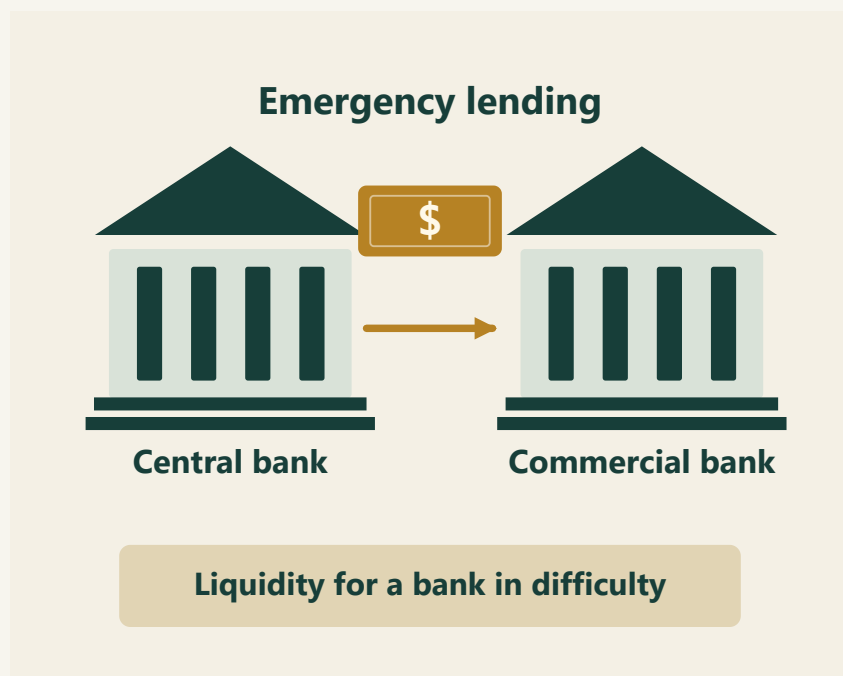
Borrowers



Can everyone get it back at once?

4. Act as lender of last resort

充当最后贷款人



Lends to commercial banks in difficulties

向陷入困难的商业银行贷款



Provides liquidity to commercial banks

向商业银行提供流动资金

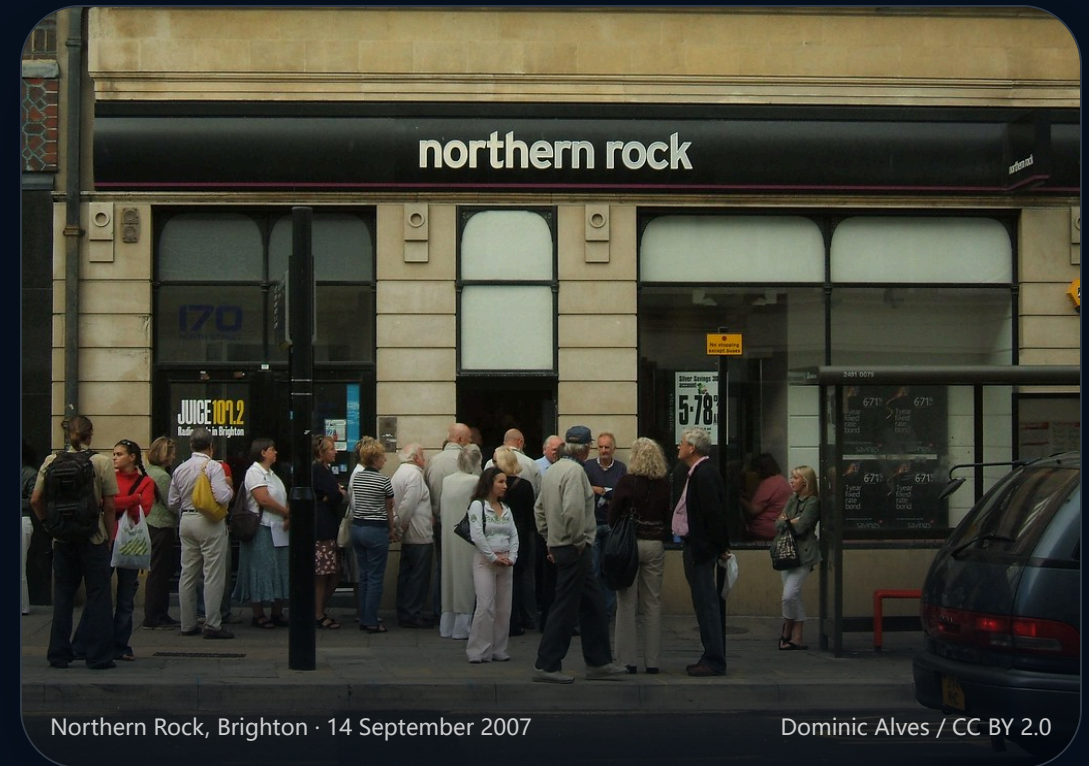
Emergency central-bank lending

Oehler-Huang teaching illustration

Northern Rock: emergency support

14 September 2007

The Bank of England announced emergency liquidity support for Northern Rock.



5. Regulate the banking system

监管银行体系



Banking supervision

Oehler-Huang teaching illustration

Monitors banks and limits excessive risks

监督银行，限制过度冒险



Reduces the likelihood of bank collapse

降低银行倒闭的可能性



Protects savings and access to credit

保护储蓄并维持信贷供应



Maintains financial stability

维持金融稳定

Financial stability: yes or no?

Decide yes or no. Give an economic reason. 判断并解释。

1

A bank's sound loans will be repaid next year, but withdrawals exceed its cash today. Could it need the lender of last resort?

Yes

Valuable loans are not necessarily funds available today. Emergency lending can provide liquidity.

2

A bank's risks are monitored and it later receives emergency funds. Are these examples of the same central-bank function?

No

Regulation monitors and limits risks. Lender-of-last-resort support provides emergency funds.

6. Operate monetary policy

实施货币政策



FOMC monetary-policy meeting · January 2024

Federal Reserve / public domain

Sets interest rates or manages the money supply

设定利率或管理货币供应量



Controls inflation: prevents prices rising too much

控制通胀，防止价格过度上涨



Protects purchasing power

保护购买力

UK interest-rate rises

0.1% → 5.25%

Bank Rate rose from early December 2021 to August 2023 as the Bank of England acted to reduce inflation.



The front facade of the Bank of England building in London [Wikimedia Commons / Michael](#)

Price stability: yes or no?

Decide yes or no. Give an economic reason. 判断并解释。

1 Inflation falls from 8% to 3%. Has money recovered the purchasing power it lost?

No

Prices are still rising. Money loses purchasing power more slowly; the earlier loss is not reversed.

2 A central bank earns less profit while inflation is low and stable. Could it still be achieving its main aim?

Yes

Its main aim is usually price stability. Lower profit does not by itself show failure.

Past paper practice

历年真题练习

1 Definition of a central bank

2 Functions of a central bank

3 Past paper practice

Define a central bank. [2]

PAPER 2

2 marks

Define

Skills: K

OCTOBER/NOVEMBER 2024, 0455/23 Q5(A)

1

State who it serves [1]

2

State its policy role [1]

Write one precise sentence before revealing the model.

Define a central bank. [2]

MODEL ANSWER

A central bank provides banking services to the government and commercial banks and implements monetary policy.

Why this scores well

Banking services to government/commercial banks is one creditworthy detail. Operating monetary policy is a second.

Identify two ways central banks differ from commercial banks. [2]

PAPER 2

2 marks

Identify

Skills: K

OCTOBER/NOVEMBER 2025, 0455/23 Q3(A)

1

Compare the same feature

2

State a positive fact about each bank

Write two concise contrasting statements. Do not rely on “commercial banks do not”.

Identify two ways central banks differ from commercial banks. [2]

MODEL ANSWER

A central bank's main objective is usually **price stability**, whereas a commercial bank's main objective is usually **profit maximisation**.

A central bank holds **government and commercial-bank accounts**, whereas commercial banks hold accounts for **households and firms**.

Why this scores well

The scheme requires a positive central-bank fact and a linked positive commercial-bank fact. A negative statement alone does not earn the second mark.

Explain two functions of a central bank. [4]

PAPER 2

4 marks

Explain

Skills: K/An

OCTOBER/NOVEMBER 2023, 0455/23 Q3(B)

Identify function [1]

Explain function [1]

Identify function [1]

Explain function [1]

Write two developed points in four minutes. Choose functions you can explain accurately.

Explain two functions of a central bank. [4]

MODEL ANSWER

The central bank acts as **banker to the government**. It **receives money** into government accounts and **makes payments** on the government's behalf.

The central bank acts as **lender of last resort**. It provides **emergency loans** to commercial banks that cannot obtain funds elsewhere, helping them meet withdrawals.

Why this scores well

One mark for each function plus one for its explanation. The two paragraphs explain different functions.

Analyse reasons why central banks are important for an economy. [6]

PAPER 2

6 marks

Analyse

Skills: K/An

OCTOBER/NOVEMBER 2025, 0455/21 Q3(C)

1

State an economic benefit

2

Explain the bank's action

3

Develop the consequence

Write for six minutes. Explain why the roles matter to people or the economy.

Analyse reasons why central banks are important for an economy. [6]

MODEL ANSWER

Central banks can help **control inflation** through monetary policy, using interest rates or the money supply. Preventing prices from rising too quickly helps **protect purchasing power**, so households' money loses value more slowly and goods and services remain more affordable.

Central banks can help maintain **financial stability** by **monitoring commercial banks' risks**. This may reduce the likelihood of bank failure, helping **protect depositors' savings** and preserving households' and firms' **access to credit**.

Why this scores well

Each paragraph develops an action into economic consequences. Repeating "central banks are important" or listing functions does not supply those links.